

Murata Manufacturing (6981.T): the MLCC cycle leader, priced for a new regime

Written for: you, as the portfolio decision-maker · As of: 2 Oct 2026 · Price: ¥8,467 · Market cap: ~¥15.4tn

Tags: [F] company document or exchange data · [A] attributed to press, aggregator or broker, not independently verified · [E] our arithmetic or assumption.

0. Verdict in one page

Call	WATCH, not a buy at ¥8,467. Avoid adding on the house method; no short.
Where the cycle is	Fundamentals: mid upcycle. Orders, lead times and prices are all still rising. Stocks: already had their late-cycle wobble, with the basket -36% from its June high. MLCC Cycle Watch score: 18.5 / 100 (upcycle intact).
House value (EV / 5-yr-mean EBITDA, own band)	Probability-weighted present value ¥4,140 (Bear ¥2,937 / Base ¥4,094 / Bull ¥5,435), against a ¥8,467 price. Entry for a 20% IRR: ¥2,844.
What the price assumes	At a 0% IRR to Mar-2030, the base case needs an exit at 21.2x 5-yr-mean EBITDA. The own band is 10.4x / 11.6x / 13.5x, and the stock trades at 31.4x today. The price pays for a permanent re-rating to a "structural AI supplier" multiple.
Street	17 of 18 analysts Buy; average target ¥10,414 (+23%) [A]. The street values 2027-28 earnings at 35-45x. We value the cycle average at the stock's own history.
Single driver	MLCC price. Murata still absorbs a ¥15bn year-on-year price headwind [F]. If it joins SEMCO (+30%) and Yageo (+50% list) in 1Q27, every +5% on capacitor price adds about ¥45-50bn of EBITDA.
What flips us to buy	Price below ~¥5,000 (the Base exit value) with book-to-bill still above 1.1. Or evidence that the trough EBITDA margin has moved up 5+ points, which would justify a higher band.
What flips us to short	Capacitor book-to-bill below 1.0 together with SC04 (channel inventory) turning red, while the stock still trades above ~20x 5-yr-mean EBITDA.

Bottom line. Murata is the best business in the MLCC cycle: about 40% of value, about 45% of AI-server MLCCs, ~95% utilization and a record 1.47 MLCC book-to-bill. It is also the stock where the gap between the business and the price is widest. History says buying the MLCC basket 35% off a peak pays over two years. Murata is only 31% off its peak and still about 3x its mid-cycle multiple. Wait for price, or for proof that the trough has moved up.

1. Technical moat: why Murata wins the hard parts

- **What an MLCC is.** Hundreds of alternating layers of barium-titanate ceramic and nickel electrode, sintered into a chip as small as 0.25 x 0.125 mm (008004). Capacitance rises with more and thinner layers. The craft is making sub-micron dielectric layers without defects, at trillions of units a year.
- **Murata's edge is vertical integration.** It makes its own dielectric powder, its own sheet-casting and printing equipment, and its own stacking and firing lines. Competitors buy powder (Sakai Chemical holds ~25-28% of barium-titanate supply) [A]. In-house powder lets Murata reach the thinnest layers first, which is what high-capacitance AI-server parts need.

Murata (6981.T) deep dive

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- **Where it shows.** About 45% share in AI-server MLCCs and about 50% in automotive [A], the two segments where qualification takes 12-24 months and failure is not tolerated.
- **Limits of the moat.**
- SEMCO is within 5 points in AI-server share [A].
- Chinese makers (Fenghua, Three-Circle) are moving up from commodity parts into high-cap parts.
- Murata is pruning part numbers across nine MLCC series (last orders Mar-2028) [A]: a mix choice that cedes commodity volume.

2. Commercial scaling

Item	FY3/26	FY3/27 guide (31 Jul)	Source
Revenue	¥1,830.9bn	¥2,110bn	[F] fact book 2026; 1Q results
Operating profit	¥281.8bn (15.4%)	¥430bn (20.4%)	[F]
Capacitor revenue	¥936.4bn (51%)	¥1,157.5bn	[F]
Data-center related sales	~¥176bn	¥370.6bn	[A]
Capex	¥247.8bn	¥255bn	[F]
Utilization	—	"very close to 95%"	[F] 1Q speech

- 1Q FY3/27 (Apr-Jun 2026): revenue ¥502.3bn (+20.7%), OP ¥98.5bn (+59.8%). Components OP was ¥113.6bn at a >30% margin; Devices & Modules lost ¥12.9bn [F/A].
- Orders: total ¥673.9bn, book-to-bill 1.34 (MLCC alone 1.47). Backlog ¥617.8bn, up from ¥446.2bn in March [F].
- Capacity: a new Izumo building is complete, and ~¥80bn more MLCC equipment through Mar-2028 adds more than 20% capacity, with first output in 4Q27 [A]. Murata stopped taking new general-purpose MLCC orders from 4 Sep 2026, with deliveries pushed to Jan-2027 [A].

3. PxQ and end-market growth

- **Q (units).** The market is roughly 3.5-4 trillion MLCCs a year [A, weak]. The increment comes from AI servers, at 8-15x the parts of a normal server, and electric cars, at 10,000-18,000 parts vs ~3,000 for a combustion car [A]. One GB200 NVL72 rack carries ~440,000 MLCCs. Rubin boards carry ~12,000 vs 6,500 for GB200 (TrendForce, 18 May 2026) [A].
- **P (price).** Normally down a few percent a year. In 2026:
- Industry hikes: Yageo +50% list price (1 Jul), SEMCO +30% (1 Aug), Taiyo Yuden in April and September [A].
- Murata's own price impact is still negative, about -¥15bn year on year [F]. It reportedly lifted AI-server and auto-grade parts 15-35% from April [A, unconfirmed].
- **End-market growth.**
- Murata sees AI-server MLCC demand growing ~30% a year to 2030, reaching 3.3x 2025 [A].
- Consumer (about half of units) is "subdued" [F].
- The model's Base case has capacitor volume +15% / +8% / -2% for FY3/28-30, and price +3% / +1% / -5%.

4. Value chain

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- **Upstream:** barium-titanate powder (in-house; Sakai Chemical, Fuji Titanium for others); nickel and copper electrode paste; palladium is minor since the move to base-metal electrodes; sintering furnaces (largely in-house).
- **Murata:** powder, sheet casting, printing, stacking, firing, termination, test. Plants are in Japan (Izumo, Fukui, Okayama), China (Wuxi), the Philippines and Thailand.
- **Downstream:** distributors (about a third of volume; the double-ordering risk sits here), EMS/ODMs (Foxconn, Quanta, Wiyynn for AI servers), handset OEMs (Apple, Samsung, Chinese Android), and auto Tier-1s (Bosch, Denso, Continental). Named-customer shares are not disclosed (gap).
- **Chokepoint:** high-cap, small-case-size MLCCs for GPU power delivery. Murata and SEMCO supply 80-85% of them [A].

5.1 Financial model and valuation

Method (your ruling, 2 Oct 2026). EV over 5-year-mean EBITDA, against Murata's own band. This is the memory-card D-M1 logic with no regime credit; P/B is used only as a timing check.

The band. The multiple is calculated monthly from May-2016 to Oct-2026 (126 months):

Statistic	EV / 5-yr-mean EBITDA
p25	10.4x
Median	11.6x
p75	13.5x
Today	31.4x

Excluding 2026 the median is still 11.5x. P/B is 36% above its own median, so the timing check also reads stretched. On trailing P/E Murata trades at 66x against a 19x / 23x / 29x band. On FY3/27 guidance the P/E is 45.6x [E].

Scenarios to Mar-2030 (exit on the band; FY3/27 = company guidance):

	Bear (25%)	Base (50%)	Bull (25%)	Prob-weighted
Capacitor volume FY28 / 29 / 30	+5% / -8% / +2%	+15% / +8% / -2%	+20% / +12% / +5%	
Capacitor price FY28 / 29 / 30	-3% / -10% / -3%	+3% / +1% / -5%	+10% / +3% / -2%	
FY3/30 EBITDA	¥451bn	¥710bn	¥985bn	¥714bn
5-yr-mean EBITDA (FY26-30)	¥518bn	¥657bn	¥772bn	¥651bn
Exit multiple	10.4x	11.6x	13.5x	
Net cash Mar-2030	¥0.96tn	¥1.49tn	¥1.94tn	¥1.47tn
Value per share at exit	¥3,498	¥5,013	¥6,768	¥5,073
PV per share (8% cost of equity)	¥2,937	¥4,094	¥5,435	¥4,140
IRR from ¥8,467	-20%	-12%	-5%	-12%
Entry for 20% IRR	¥2,012	¥2,812	¥3,739	¥2,844

Sensitivity: the single technical driver. Value per share at exit (JPY), with annual capacitor price change across the columns and annual volume growth down the rows:

vol \ price	-10%	-5%	0%	+3%	+6%	+10%
-5%	3,700	4,021	4,364	4,580	4,806	5,120

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0%	3,796	4,157	4,543	4,787	5,041	5,396
+10%	4,007	4,457	4,939	5,246	5,564	6,010
+20%	4,242	4,794	5,389	5,767	6,161	6,712

Even three years of +20% volume and +10% price a year reach only ~¥6,700 on the own band. **The multiple is the whole debate, not the cycle.** At 20x the Base 5-yr-mean EBITDA, the exit value is ~¥8,000; at 25x, ~¥9,800. Today's price needs ~21x. The full grids are in the model.

Why the band may be too low (steelman). The trough moved up in the last cycle: FY3/24, the worst year since 2018, still earned a 23.9% EBITDA margin. AI-server parts are under multi-year contracts (SEMCO has ¥3.3tn of LTAs), and the mix shift toward high-cap parts is structural. A permanent re-rating to ~15-16x mid-cycle EBITDA is defensible, which puts the Base exit value at ¥6,200-6,600 (present value ~¥5,000-5,300). That is still well below the price.

Capital allocation. - A ¥150bn buyback (75m shares, 4.1%) runs to Jan-2027 [F/A], and DPS is ¥70 with a 5% DOE target. At today's price the buyback buys back stock at roughly 2x our value. - Net cash of ¥650bn (Mar-2026) rises to ~¥1.5tn by Mar-2030 in the Base case. That is about 10% of the market cap and cushions the Bear case.

6. Investment philosophy: how to own this

- The cycle call and the stock call differ.** The MLCC upcycle probably has 2-4 more quarters: orders are accelerating, Japanese price hikes are still to come, and supply cannot answer before 2H27. That favours the high-beta laggards for a trade (Taiyo Yuden, Yageo, Walsin, down 41-55% from their highs), not Murata at 31x mid-cycle EBITDA.
- Murata is the name to own through the next bust, bought at the right price.** It fell among the least in every past downturn (-30% to -64%, vs up to -89% for Taiyo Yuden) and recovered its high fastest after 2018. Its own-price backtest is best when bought 30% off the peak in mid-cycle pauses (2011, 2019, 2022: +32% to +111% over 24 months). It is worst in true busts (2001, 2007: -8% to -25%).
- Staged entry plan.** - ¥6,200 (Base exit value at a 15x re-rated band): first third. - ¥5,000 (Base exit value): second third. - ¥4,100 (PW present value): the rest. - Each stage requires capacitor book-to-bill above 1.0 at the time of buying.

7. Catalysts

Date	Event	What to read
30 Oct 2026	2Q FY3/27 results	MLCC book-to-bill (stay >1.3?), price stance for 1Q27, FY guide (third raise?)
~8-10 monthly	Yageo / Walsin revenue	Industry volume and price, a quarter ahead
Nov-Dec 2026	Japanese 1Q27 price decisions	The one leg the stocks have not priced
~2-5 Feb 2027	3Q results	Inventory build, distributor orders
Apr-May 2027	FY3/28 guidance and capex	Whether capacity growth exceeds 20%

8. What would make us wrong

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- **A regime change in the multiple.** AI-server MLCCs become a contracted, utility-like stream with structurally higher trough margins. Then the 2016-2025 band is the wrong yardstick, and ~15-20x is the new normal.
- **A Japanese price-hike leg that lifts FY3/28 EBITDA toward ¥1tn.** Even then the own band caps value near ¥7,000.
- **Sector-level way to be wrong.** The whole MLCC cohort re-rates together as an "AI picks and shovels" group, as memory did in 2025-26. Murata then trades with SEMCO's 48x forward P/E, not its own history.

9. Open gaps

- Murata's MLCC price-hike letter is not confirmed from a primary source.
- No named-customer revenue shares.
- Capacitor EBITDA is not disclosed; the model derives ~42% for FY3/27 from guidance and a 13% margin on other businesses [E].
- The sell-side reports in your G: drive folder are not yet included.
- Bloomberg reports that Murata warned AI spending "will level off" (31 Jul); the detail is paywalled and not read.

Sources

- Murata Fact Books 2022 / 2024 / 2026; 1Q FY2026 results and speech (31 Jul 2026), corporate.murata.com [F]
- Yahoo Finance prices, 2 Oct 2026 [F]; stockanalysis.com consensus [A]
- TrendForce (18 May, 28 Jul, 4 Aug, 18 Aug, 27 Aug 2026); passive-components.eu (30 Jun, 1 Jul, Sep 2026); BigGo / Bitget earnings summaries (Jul-Aug 2026) [A]
- Working files: `targets/MLCC/research/*`, `data/clean/murata_history.csv`, `murata/6981.T_model_v1_2.10.26.xlsx`

Not investment advice.